CONTRACT OF LEASE

This Contract of Lease is made and entered into this _____ day of _____ 20___ in the _____, Philippines, by and between:

MANILA MEDICAL SERVICES, INC. (MMSI), a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office address at 667 United Nations Avenue, Ermita, Manila represented by its **President, Arlene P. Ledesma**, and by its **Hospital Director, Dr. Hian Ho N. Kua**, hereinafter referred to as **"LESSOR"**.

-and-

MARY GRACE FOODS, INC. (MARY GRACE CAFÉ), a venture duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office and postal address at Lot 25 & 27 Marian Rd 2, Brgy. San Martin De Porres, Paranaque City, represented herein by its **Director, Adrian P. Dimacali**, hereinafter referred to as **"LESSEE"**.

WITNESSETH:

WHEREAS the LESSOR, is the absolute owner of a commercial establishment known as Manila Doctors Hospital located at 667 United Nations Avenue, Ermita, Manila (hereafter referred to as the "HOSPITAL").

WHEREAS, the LESSEE desires to lease a commercial space of the aforesaid commercial establishment, and the LESSOR is willing to lease the same unto the LESSEE.

NOW, THEREFORE, for and in consideration of the foregoing premises and of the following stipulations and covenants, the parties hereunto have agreed as follows:

1. **LEASE PREMISES**: LESSOR hereby lease unto LESSEE Commercial Space with an aggregate of **50.25 square meters**, located at Ground Floor, Doña Salustiana Medical Tower 2.

The LESSOR warrants and represents that it has a valid and legal right to the possession and use of the Leased Premises and that the LESSEE's right to occupy and enjoy the Leased Premises shall not be disturbed and/or impaired in any manner whatsoever unless the LESSEE commits a violation of the provision set forth in this contract.

2. **TERM**: The term of this Contract of Lease shall be Three (3) years commencing on **October 20, 2023** and automatically expiring on **October 19, 2026**. No interruption in the physical possession of the Leased Premises by the LESSEE for any reason whatsoever, shall serve to extend the term of this Contract. Should LESSEE remain in possession of the Leased Premises after the expiration or termination of this Contract, such continued and unauthorized possession shall not be deemed or considered as a renewal or extension of this Contract. Please refer to Section 27.

3. **RENEWAL**: The LESSOR is under no obligation to renew this Contract. If the LESSOR desires however, to renew this Contract, it shall notify the LESSEE in writing, not less than 120 days prior to the date of expiration of this Contract. The LESSEE shall have a period of fifteen (15) days from receipt of said notice (Lease Renewal) to accept or decline the offer, otherwise, the LESSEE is deemed to have accepted and conform to all the terms set forth in the same notice. In the event the LESSOR decides not to renew this Contract or the LESSEE does not accept the terms and conditions for renewal within the period of fifteen (15) days, the LESSEE shall deliver possession of the Leased Premises to the LESSOR at the expiration of the term of this Contract.

4. **RENT**: The LESSEE shall pay the LESSOR a fixed monthly rental as per schedule mentioned below plus 12% Value Added Tax (VAT) **10 days after receiving its statement of account (SOA)**.

Terms	Rate per sq.m	Area (sq.m.)	Monthly Rental (VAT inclusive)	Annual Rent (VAT inclusive)
October 20, 2023-October 19, 2024	P1,331.00	50.25	P74,908.68	P898,904.16
October 20, 2024-October 19, 2025	P1,464.10	50.25	P82,399.55	P988,794.58
October 20, 2025-October 19, 2026	P1,610.51	50.25	P90,639.50	P1,087,674.03

5. The first billing of the Monthly Occupancy Dues of the **LESSEE** shall be inclusive of the payment for the documentary stamp of **ONE THOUSAND SEVEN HUNDRED NINETY-NINE AND 81/100** (**P1,799.81**).

6. **REVENUE SHARE EQUIVALENT TO 5% GROSS SALES PLUS VALUE ADDED TAX (VAT)**: shall be paid by the LESSEE to the LESSOR within **10 days** from the determination of the Gross Sales by the parties. The Term "Gross Sales" as used in this contract shall be understood to mean the total amount of all sales and other revenues from all business conducted in, upon or from the Leased Premises, including the business conducted by the LESSEE or any of its employees or agents, and whether such sales and revenues be effected by or through cash, check, credit card, charge account, barter, exchange, or otherwise regardless as to whether or not collection is made of the amounts for which credit was given, and shall include, without limitation, the total gross amounts received or accrued for the sale of food, beverages, goods, wares and merchandise, the total amounts received or accrued for the services performed in, at or from the Leased Premises, for equipment and other rentals, and the amounts of all fees and similar payments received or accrued from the business conducted in, upon or from the Leased Premises, together with the amounts of all gift certificates tendered or used to pay for merchandise sold in the Leased Premises. Any transaction on installments basis involving the extension of credit or deferral of payment, such as, but not limited to, "lay away" sales and conditional sales, shall be treated as a sale for the full price reckoned at the time the merchandise is invoiced to the customer.

Gross Sales shall further include any sale of any product or services by any employee or agent of the LESSEE at the Leased Premises. Included in the term Gross Sales are sales of any "outside" or travelling salesman of the LESSEE, when such sales persons are supervised by or must report their activities and sales to the LESSEE or any employee of the LESSEE at the Leased Premised. Gross Sales shall not be discounted or reduced on account of coupons or other promotional evidence of credit received by the LESSEE towards the purchase, lease or exchange of merchandise or services, nor shall there be deducted any fee, service charge or discount paid to any credit card or other credit extending agency. There shall be no adjustments to the Gross Sales for any cash shortages. The LESEE may, however deduct from Gross Sales the price of or credit allowed in lieu of merchandise returned by customers for exchange or reimbursement. Gross Sales shall not include the amount of such value added tax.

Regular Sales will be computed as net of VAT multiplied by the agreed rate (**5% of gross sales**) of both parties. On the other hand, sales for Senior Citizen (SC) and Person with Disability (PWD) shall be based on **NET Sales** which will be computed as gross sales less VAT, less 20% discount multiplied by the agreed rate (**5% of gross sales**) of both parties.

All transactions of the LESSEE must be covered by appropriate sales invoices bearing the name of the LESSEE and registered in a recording machine acceptable to the LESSOR. The LESSEE agrees to the daily monitoring of its sales by allowing the LESSOR's authorized representative to conduct reading of the recording devise or medium and by submitting to the LESSOR a summary of daily sales report. The LESSEE further agrees to the daily submission of the audit tape or disk for the previous day. The cash register record and all supporting invoices and documentation shall be preserved for examination by auditors of the LESSOR.

Within the first ten (10) calendar days after the end of each calendar month beginning on the first month of its operations, the LESSEE shall furnish and deliver to the LESSOR in writing a statement of gross sales certified by the LESSEE's in, upon or from the Leased Premises for the preceding month. In addition, within thirty (30) days from the end of each calendar year, the LESSEE shall furnish the LESSOR a statement certified by the LESSEE's duly authorized officer, setting forth the Gross Sales for the year itemized in months made in, upon or from the Leased Premises for the preceding calendar. Late submission of **CERTIFIED MONTHLY SALES REPORT (CMSR) will entail a penalty of Php 300.00 per day. Penalty will be reflected on the next monthly billing. Non submission of daily sales data shall be charged of Php 500.00/day**.

The LESSEE shall faithfully and accurately record all its transactions and hereby authorizes the LESSOR or its authorized representative to conduct at any time an audit of all such records of LESSEE's transactions in order that the LESSOR may monitor the LESSEE's compliance with its obligations under this Section. This right of the LESSOR to audit the sales transactions of the LESSEE includes the right to require the LESSEE to provide the LESSOR of its sales reports/records and to examine the accuracy of the said sales reports/records. Failure of LESSEE to submit to an audit upon request of the LESSOR shall be considered a serious violation of this Lease Contract and a ground for its termination. The LESSOR likewise reserves the right to provide its own personnel as invoice or cashier at the Leased Premises and the salaries and all related employment costs/benefits of said invoice or cashier shall be shared by the LESSOR and the LESSEE. The LESSOR shall keep its knowledge of the sales of the

LESSEE in the Leased Premises in utmost confidence and shall in no case reveal such information to any third party. **Submission of fraudulent sales data shall be charged Php 2,000.00 per transaction and shall constitute breach of this Contract of Lease**. LESSEE agrees to pay immediately upon demand any and all rightful assessments arising from the LESSOR's examination of LESSEE's records without prejudice to the exercise by the LESSOR of any other right or remedy it might have under this Contract and pertinent law.

In case of any willful misrepresentation or dishonesty in the invoicing or registering of any transaction by the LESSEE, its officers, agents or employees, the LESSOR may, at its option:

a) Terminate this Contract and require the LESSEE to pay a penalty equivalent to One Hundred Percent (100%) of the monthly rent plus forfeiture of security deposit.

b) Increase the monthly rent by One Hundred Percent (100%), allow the LESSOR to provide its own personnel as invoice or cashier with the LESSEE reimbursing the LESSOR for the salaries and all related employment costs/benefits of said invoice or cashier, and impose upon the LESSEE a fine of:

(i). Not less than double the amount of the deficiency plus interest at the rate of four percent (4%) per month computed daily and compounded monthly from the date a deficiency is incurred until fully paid, if such deficiency can be determined; or
(ii). One Hundred Percent (100%) of the minimum rent, if such deficiency cannot be determined;

Should a breakdown occur on the electronic recording and/or processing system, the LESSEE should immediately inform the LESSOR's authorized representative in order that remedial measures may be made for continuous operation. During such breakdown, the LESSEE shall record all its transaction by manual and should make the necessary input on the system as soon as the electronic machine becomes available.

7. **PENALTY AND INTEREST**. Should the LESSEE fail to pay all necessary fees and charges **within ten (10) working days** from the receipt of the **Statement of Account (SOA)**, the LESSOR shall apply a **3% PENALTY** and **3% INTEREST** per month. Such **PENALTIES AND INTEREST** shall be reflected in the next billing statement.

8. **SECURITY DEPOSIT AND ADVANCE RENT**: The LESSEE shall also make a security deposit and advance rental to the LESSOR an amount equivalent to **three (3) months worth of Fixed Rent for Security Deposit without VAT** and **three (3) months worth of Fixed Rent with VAT for Advance Rental** respectively. The LESSOR shall retain the security deposit for the faithful performance of each and every term, provision, covenant and condition of this Contract. **Such Security deposit shall be increased as the Fixed Rent is increased yearly**. In no event shall LESSOR be obligated to apply the security deposit to rents or other charges in arrears for the failure by the LESSEE to perform any of the terms, provisions, covenants, and conditions of this Contract.

The security deposit shall be returned to LESSEE, without any interest, forty five (45) days after LESSEE shall have completely and satisfactorily vacated and delivered the Leased Premises to LESSOR, less whatever amounts LESSEE may owe the LESSOR in case of damages have been incurred in the Leased Premises. The Security Deposit shall be applied on the last one (1) month of the Lease Term.

The Security Deposit and Advance Rental shall automatically be forfeited in favor of the LESSOR in the event of the following:

a.) Termination of this agreement at the instance of or due to the fault of the LESSEE prior to the Lease Expiry Date.
b.) Failure of the LESSEE to commence operation within Thirty (30) days from Lease Commencement Date.
c.) Abandonment of the Leased Premises - if the leased premises are closed for a period of seven (7) days without an overseer and without any previous notice to the Lessor. Lessor shall have the right to break open and enter the same by force or otherwise without being liable for any prosecution therefore.
d.) Unauthorized sub-leasing of the leased premises, and
e.) Assignment, transfer and conveyance of the Lessee's leasehold rights without the consent of the Lessor.

It is also agreed that the LESSEE's liability for non-compliance with the terms and conditions of this Contract shall not be limited to the forfeiture of the abovementioned security deposit and advance rentals.

9. **PRETERMINATION**: The pre-termination of this Agreement may be done by either party on any of the following grounds only:

a. Should a party violate or deviate from any provisions of this agreement and the violating or deviating party does not rectify such violation or deviation within ten (10) working days from written notice by either party.
b. When it has become impractical or grossly not viable for the Parties to proceed due to losses that both are encountering.

The pre-termination of this agreement shall be without prejudice to LEESSEE paying for rentals up to and until the last day of use and/or occupancy by LESSEE of the Leased Premises.

10. **CONSTRUCTION BOND FITTING OUT CHARGES**: Leased Premises shall be delivered by the LESSOR to the LESSEE on an **"as-is-where-is"** basis. In case of any construction, renovation or fit-out of the Leased Premises, the LESSEE shall post to the LESSOR within fifteen (15) days prior to any such construction or renovation, a construction cash bond in an amount equivalent to one (1) month rent to cover compliance with the construction guidelines of the LESSOR. It shall be in effect for the duration of the construction, renovation or fit out of the Leased Premises and shall be returned to the LESSEE without interest, after completion of construction, renovation or fit out less any charges for any and all injury or damages to the LESSOR or third persons during the construction period arising from any work done by the LESSEE or its agent or contractor in the interiors and façade of the Leased Premises, including but not limited to, those that maybe caused to the common areas of the establishment. It is understood that before the aforementioned construction cash bond is cancelled or released, the LESSEE shall execute a certification to the effect that it has completed all works within the Leased Premised and its façade without damage to any common area of the establishment or that it has paid, to the satisfaction of the LESSOR, the reasonable cost of the damage which the LESSOR have incurred thereby.

Fitting out charges shall be paid by the LESSEE to the LESSOR. It shall cover all actual utilities and service charges such as but not limited to electrical consumption, water, security, garbage disposal and other services as may be provided by the LESSOR during the fitting out of the Leased Premises by the LESSEE.

11. **REPRESENTATIONS AND WARRANTIES**: As principal consideration which induced LESSEE to enter into this Contract of Lease, LESSOR has represented and warranted, as it represents and warrants to LESSEE that:

a) LESSOR has the legal power and authority to lease the Leased Premises to LESSEE and to execute this Contract of Lease, and when executed, this Contract of Lease shall be legal, valid and binding, and constitute LESSOR's legal, valid and binding obligation enforceable in accordance with its terms and conditions;

b) LESSEE's right to the peaceful and uninterrupted possession, use and enjoyment of the Leased Premises under this Contract of Lease shall not be disturbed or impaired in any manner whatsoever provided LESSEE has not violated any provisions of this contract and except where the interruption is due to cause beyond the control of the LESSOR.

c) The Leased Premises is not subject of and/or involved in any suit before the courts or administrative bodies; and

d) LESSOR shall defend its rights over the Leased Premises against the claim of third parties whomsoever and undertakes to reimburse LESSEE of the rental rate paid for the period the LESSEE was deprived of possession or suspend the monthly rental as the case may be, whichever is applicable.

12. **USE OF LEASED PREMISES**: The Leased Premises shall be used by the LESSEE for purposes of setting up a **Restaurant** and to provide any improvement thereon solely for the stated purpose. As such, the proposed plans for the Leased premises shall be submitted by the LESSEE to the LESSOR for the latter's written approval before any construction by the LESSEE. LESSEE further undertakes to strictly follow the specifications of the approved plans, and to similarly seek the prior written approval of the LESSOR before any deviation from the said approved plans is made, which approval, however, LESSOR shall not unreasonably withhold.

The LESSEE shall have the right, without obligation to pay the LESSOR additional rent, to install and display on the Leased Premises, at its own expense in areas designated by LESSOR, such signs and advertising materials necessary in the conduct of its business. The LESSOR may also allow the LESSEE to install and display signs and advertising materials outside the Leased Premises provided that the LESSEE requests prior consultation and approval of the LESSOR. The LESSEE signs and advertising materials shall comply with all applicable governmental rules and regulations and shall be consistent with the signage and billboard plan which will be agreed upon by both parties. The LESSEE however agrees and understands that its right to install and display its signs and advertising materials including its location can be changed or altered at any time upon the sole discretion of LESSOR in case of future developments affecting the Manila Doctors Hospital or its surroundings areas. The LESSOR shall have the right to remove and/or destroy any such unauthorized signs and advertising materials installed outside the designated or approved areas, at the expense of the LESSEE and without incurring any civil or criminal liability or accounting for such removal and/or destruction.

The LESSEE and its customers have the right to the use of the designated parking and other common usage areas. LESSOR or its assigns shall have the sole and exclusive jurisdiction and right to police, control, and regulate traffic and promulgate reasonable rules and regulations governing the use of common parking areas, common sidewalks, common driveways, entrance and exit. LESSOR reserves the right to conduct maintenance and repair works upon prior advice to the authorized store manager such as re-concreting of the common areas and driveways without any compensation to LESSEE by reason of inconvenience, annoyance or injury to the LESSEE's business as a result thereof.

The LESSEE shall be responsible for its actual use of security, janitorial and maintenance services, including the expenses incurred in the use and maintenance of electrical fixtures and lighting facilities within the perimeter of the Leased Premises.

13. **COMMON AREAS**: The term Common Area means all the areas and facilities in the Building that are provided and designated by LESSOR for general use and convenience of the public and all the tenants of Manila Doctors Hospital, their respective officers, employees, agents, customer and guests. The Common Areas include (but not limited to) pedestrian walks, sidewalks, comfort rooms, driveways and the like which are installed at the expense of the LESSOR. It is understood that the LESSEE's privilege to use the Common Areas is not exclusive. This privilege is not an integral part of this Contract and may be restricted or regulated at any time by LESSOR at its sole discretion.

In addition to the rent, LESSEE shall pay its proportionate share of all costs and expenses of every kind and nature as may be paid or incurred by LESSOR during the term of this Contract for the Common Areas which shall include but not limited to security services, landscape maintenance, janitorial services, pest control services, water charges, electrical charges and other utilities for the common areas, management and administrative services called **CUSA** at the rate of **Php 100.00** per square meter per month of the total rentable area + 12% VAT. This amount shall be subject to adjustment at LESSOR's sole discretion, depending on prevailing costs; such adjustments to take effect or retroactive to the date the increase in costs occurs.

The LESSEE shall pay the above amount at the office of the LESSOR or its assigns, without necessity of demand, after **ten (10) working days** from the receipt of the **Statement of Account**. The provisions under **Section 6** regarding **Penalty Charges** shall apply to accounts not settled on time.

14. **PERMITS and LICENSES**: The LESSEE shall obtain, at its own expense, all permits and licenses required by the Municipal, City and/or National Government for the construction, renovation, fit-out, alterations, improvements and/or the operation of its business and shall furnish Manila Doctors Hospital a copy of Bureau of Internal Revenue (BIR), Certificate of Registration (COR), Business Permit and the like.

15. **TAXES and INSURANCES**: For the entire duration of this Contract and any extension thereof, the LESSOR shall pay the real estate taxes and other assessments on the Leased Premises subject hereof due to the National Government, its subdivision, agencies and instrumentalities. The LESSEE, on the other hand, shall pay the real estate taxes on the improvements and equipment it introduced thereto during the term and any extensions of this Contract of Lease.

The LESSEE shall insure the improvements and equipment on the Leased Premises at its expense during the term of this Contract against destruction or damages by fire and extended coverage risks including public liability in an amount equal to the maximum insurable value thereof. **LESSEE shall furnish the LESSOR with a copy of the insurance policy and copies of the corresponding official receipts. The LESSEE shall also periodically submit proof of renewal together with corresponding copies of the official receipts evidencing payment of premium charges**. In case of loss or damage covered by the insurance, LESSEE shall be responsible for the deductible amount and all insurance proceeds shall be used for the purpose of restoration or reconstruction of the improvements of the Leased Premises.

In case of fire and/or damage to the Leased Premises preventing the full occupancy and/or operation thereof without fault on the part of LESSEE, this contract of Lease shall be deemed suspended and no rentals shall be paid during the said period.

16. **SALE OF LEASED PREMISES TO THIRD PARTY BY LESSOR**: Any sale, transfer or encumbrance of the Leased Premises during the term or extension of this Contract of Lease shall be with prior notice to the LESSEE ad the terms and condition of this Contract of Lease must be respected by the Buyer and/or transferee and their heirs and assigns.

17. **LEASE, TRANSFER OF RIGHTS**: The LESSEE shall not assign, sublet, or transfer its rights in this Contract of Lease.

18. **EXPROPRIATION**: If the whole of the Leased Premises, or such portion thereof, is expropriated or condemned due to structural damage caused by force majeure, or by virtue of the law of eminent domain for any public use or purpose by the Government or any of its instrumentalities or political subdivisions or any public service company, then in either of such events, this Contract of Lease shall cease from the time of such destruction or when possession is taken by such condemning authority and rental shall be accounted for between the LESSOR and the LESSEE as of the date of the surrender of possession or destruction. Such termination shall be without prejudice to the rights of either the LESSOR or the LESSEE to recover compensation from the condemning authority of any loss or damage caused by such expropriation or condemnation. The LESSEE shall have no rights in or to any award made to the other by the condemning authority.

In the event of any expropriation, if applicable, the LESSEE has the option and the priority to lease other portion of the commercial establishment under same terms and condition of this Contract of Lease.

19. **OPERATION OF THE LESSEE**:

a.) The Lessee shall operate the Lease Premises during the entire term of the Contract and its renewal, with due diligence and efficiency so as to produce the maximum gross sales possible by such manner of operation. The LESSEE shall conduct its business in the leased premises the days and hours fixed by the LESSOR.

b.) The LESSEE further agrees that it shall follow the official store hours of the Hospital. The LESSOR shall impose a penalty of Twenty (20) Pesos per square meter per hour (Php 20.00/sq.m/hour) for unexcused late opening or early closing of store operations accumulated in a month's time. Computation shall be done cumulatively and a fraction of sixty (60) minutes shall be computed on a pro-rata basis. The rate of penalty herein stipulated may increase as may be determined by the LESSOR.

c.) The LESSEE shall maintain at all times sufficient merchandise and number of adequate personnel to serve the patrons thereof and will generally enjoy its best efforts and abilities to produce the maximum return to the LESSOR and LESSEE and help maintain high reputation for the Hospital. The LESSEE shall keep the display windows and signs if any, in the leased premises well-lighted during the evening hours or as may be required by the LESSOR from time to time, unless prevented by causes beyond the control of the LESSEE.

d.) Closure or non-operation for any cause without the prior written consent of the LESSOR other than force majeure or acts of God, shall be a material breach of this Contract and the LESSOR shall impose a penalty of **100.00** pesos per square meter per day (Php **100.00**/sq.m/day) for said closure or non-operation, without prejudice to avail of other remedies that the LESSOR may have against the LESSEE under this Contract or Law. The rate of penalty herein stipulated may increase as may be determined by the LESSOR.

20. **SIGNS AND ADVERTISEMENTS/ADVERTISING AND PROMOTIONAL EXPENSES**:

a.) The LESSEE shall put up and maintain at its own expense the required business signage(s), the size, color and design of which shall be submitted to the LESSOR for review and approval, and the same to be installed by the LESSEE at the designated place(s) upon commencement date of the LESSEE's business. Failure of LESSEE to install the required sign(s) within the period specified shall give the LESSOR the right to install the proper signage(s) and the cost and expenses of which shall be for the account of the LESSEE.

b.) The LESSEE shall not affix, hang inscribe or paint any notice, signage, streamer, or other advertising medium within or outside the leased premises without the prior written approval of the LESSOR. Otherwise, the LESSOR shall remove and/or destroy summarily any unauthorized signage or materials which may be found within or outside the leased premises without incurring any liability whatsoever. The LESSEE shall abide by the policies, rules and regulations, regarding sales promotions as may be promulgated by the LESSOR.

c.) The LESSEE shall use as its advertised business address using the name and address of Hospital. The LESSEE's trade name set out in this Contract shall not be changed without the LESSOR's prior written consent. The LESSEE agrees that the LESSOR's name or the name of the Hospital shall not be used in any confusing, detrimental or misleading manner and upon termination of this lease; the LESSEE shall cease to use the LESSOR's name in any manner.

d.) In order to promote the business in the Hospital where the leased premises is located, the LESSOR may conduct from time to time advertising and promotional activities including inaugural events which it may consider appropriate and the LESSEE agrees to share with all the other LESSEE's in the Hospital in the costs and expenses of such advertising and promotional activities are at rate or in an amount specified by the LESSOR. The LESSEE's share shall be paid on the date specified in the applicable statement of account.

21. **WATER, POWER AND OTHER UTILITIES**: The LESSOR shall install and maintain an access for the supply of utility services, including gas, which shall be the brand being sold by the LESSOR, water and electricity required to operate the business of the LESSEE in the Leased Premises. The LESSEE shall pay for its actual consumption of gas, water, electricity as well as telephone services, and other public services or utilities necessary for the operation of its business. However, in the event the power and/or water utility companies require that the LESSEE apply for electrical and/or water connection with or through the LESSOR, the LESSOR shall provide complete documents and assistance needed by the LESSEE to effect such electrical and/or water connections.

In the event that the utility companies require that there be only one access to the supply of utility services, including gas, water, electricity and sewer, the LESSOR shall grant the LESSEE access to the utility service supply points within the LESSOR's premises. Expenses for installation and supply of meters and sub-meters for monitoring of the electrical and water utilities consumption and such other sub-meters as may be necessary shall be for the account of the LESSEE.

The LESSEE shall pay or cause to be paid, prior to delinquency, all necessary and applicable charges for water, electricity, other services or utilities, used, rendered or supplied in connection with the LESSEE's use of the leased premises together with any assessment of surcharges in respect thereto and, except when the same is furnished by the LESSOR, shall contract for the same in its own name and shall protect the LESSOR and the leased premises from any other charges.

Water and power consumption will be charged per meter reading at reasonable rates as determined by the LESSOR. LESSOR shall supply water meter but the cost of which shall be for LESSEE's account. The LESSEE shall pay a water meter deposit which shall be refundable upon termination of the lease contract. In the absence of a meter, a flat rate shall apply as determined by the LESSOR. In the event of meter defect, the LESSEE shall be liable for any adjustment arising therefrom. If Installation of meter on space is not possible, theoretical computation shall be the basis of power/water charges.

The LESSOR has the option to install and operate a power generator for the Hospital. Should the LESSOR exercise such option, the LESSEE shall pay the LESSOR a service charge for the operation and maintenance of the power generator at the rate fixed by the LESSOR.

The above charges shall be paid for by the LESSEE on the date specified in the applicable billing advice and be subject to the same interest and penalty provided herein. The LESSOR may cut off all the utilities to the leased premises, which were either procured by the LESSEE or the LESSOR, if the LESSEE has failed to pay the charges thereof in full despite proper notice to cure such default has already been given by the LESSOR. All cost of utilities and services provided by or through the LESSOR shall be allocated to the LESSEE as and in manner provided for the common usage area charges.

22. **CARE AND MAINTENANCE OF THE LEASED PREMISES**: The LESSEE shall, at its own expense, maintain the Leased Premises including the dedicated common areas and open spaces in a good, clean and sanitary condition. The LESSEE shall be responsible for the maintenance and disposal of its own waste and garbage products and materials at the common garbage bin provided by the LESSOR. The LESSEE shall be responsible for the subsequent maintenance of mechanical, electrical, plumbing, interior finishes, firefighting of the Leased Premises and all other equipment owned by the LESSEE.

23. **NON-LIABILITY FOR DAMAGE OR INJURY**: It is understood that LESSOR is not privy to the transactions between LESSEE and LESSEE's customers. The LESSOR shall not be liable for any claim for loss or damage or personal injury or death suffered by the customers of the LESSEE, and the LESSEE undertakes to defend and hold the LESSOR free and harmless from any liability which may arise therefore.

24. **STRIKES, LOCK-OUT AND PICKETS**: In case of strikes, lock-out or other labor dispute in the Leased Premises and there is a substantial interference with the operation of LESSEE's business requiring the LESSEE to temporarily close its business to the public for a period of at least three (3) calendar days, or when as a result thereof the business of the other lessees at the commercial establishment are likewise affected, the LESSOR shall have the option to terminate this Contract.

In case of picketing by the LESSEE's employees, whether inside or outside the Leased Premises or within the commercial establishment, the LESSEE shall exert effort to settle its dispute with its employees within twenty-four (24) hours from the time the employees start their picketing. Failure to settle such dispute shall entitle the LESSOR to either impose upon the LESSEE a penalty equivalent to Fifty Thousand Pesos (Php 50,000.00) for every day of picketing, terminate this Contract. In either case, the LESSEE shall be liable for any damage incurred by the other lessees and/or the commercial establishment.

In all these cases, the LESSEE shall furnish the LESSOR with a copy of the notice of strike or lock-out immediately upon the LESSEE's receipt of such notice.

25. **FORCE MAJEURE**: Neither party to this Contract shall be liable to the other party for any loss or damage of any nature whatsoever incurred or suffered by such other party due to omissions, delays or default in the performance of their obligations under this Contract, caused by circumstances beyond its reasonable control, including but not restricted to, acts of God, hostilities, war, sabotage, insurrection, riots, terrorism, acts of public enemy, reasonably unanticipated acts or restraints of any jure or de facto government, or impossibility of, or hindrance of, performance arising from the application of any law or regulations.

26. **EXTRAORDINARY INFLATION OR DEFLATION**: In case of an extraordinary inflation or deflation of the Philippine Peso should supervene during the term of this Contract, the LESSOR shall be authorized to adjust the minimum rent due accordingly. The LESSOR shall furnish the LESSEE written notice of the adjustment made in the minimum rent as provided herein. The adjusted minimum rent shall be effective on the succeeding calendar month after such notice is furnished.

27. **TERMINATION OF LEASE**: In case of termination or non-extension of the term of this Contract of Lease, the LESSEE agrees to return and surrender the Leased Premises on the expiration of the term of this Contract of Lease or date of termination without any delay whatsoever, devoid of all the advertising materials which were installed by the LESSEE. If the Leased Premises is not surrendered on the expiration of the term of the Contract of the Lease or date of termination, or any extension thereof, the LESSEE shall be responsible and indemnify the LESSOR for all the damages which the latter may suffer by reason thereof. The LESSEE will be charged equivalent to per day of the current rate. Plus 20% penalty of the monthly rate.

28. **ABANDONMENT/PADLOCK OF PREMISES**: In case the Premises shall be abandoned or vacated or padlocked by the LESSEE for any reason whatsoever, and the rental has not been paid on due date, the LESSOR shall have the right to break open and enter the same either by force or otherwise, without being liable for any criminal prosecution therefore, and to lease the same to others and to receive the rent due hereunder, holding the LESSEE liable for any prosecution therefore. Absence from or abandonment of the Leased Premises shall not relieve the LESSEE from its obligation under this lease. Failure on the part of the LESSEE to use the Leased Premises for a period of one (1) week, and the rent is not paid on due date, shall constitute desertion or abandonment.

29. **LIEN OVER PROPERTIES**: It is hereby agreed and covenanted that if the LESSEE has unpaid obligation upon the expiration or termination of this lease or in case of eviction, the LESSOR, shall have and lien over the properties of the LESSEE of whatever kind and nature found in the Leased Premises and the LESSOR is empowered to take custody or retain physical possession thereof until the whole obligation is fully settled. However, if after the lapse of sixty (60) days from the date of expiration or termination of this lease or eviction, the LESSEE still fails to pay the whole obligation, the LESSOR is hereby appointed as the LESSEE's Special Attorney-In-Fact with authority and power to sell or dispose any or all of the said properties of the LESSEE at such price or amount which the LESSOR may deem reasonable and the proceeds thereof shall be applied as partial or full payment of the obligation as the case maybe. It is understood, however, that upon satisfaction of the whole obligation from the proceeds of the sale, the LESSOR shall turnover to the LESSEE the unsold/excess property or properties.

30. **NON-WAIVER**: The failure of the parties to insist upon a strict performance of any of the terms, conditions, and covenants hereof shall not be deemed a relinquishment or waiver of any rights or remedy that said party may have nor shall it be construed as a waiver of rights under this Contract of Lease. No Waiver shall be deemed to have been made unless expressed in writing and signed by the party concerned.

31. **GENERAL PROVISION**:

a. The LESSEE agrees to be relocated in the event of a major change in the Hospital's direction of tenant mix for a particular area. If the new location is unacceptable to the LESSEE, this Contract shall be deemed terminated and the LESSOR shall thereupon return the unused portions of the Security Deposit and Advance Rentals and the LESSEE shall surrender the Leased Premises in the manner provided under this Contract.

b. The LESSEE shall solely bear all its losses and/or damages that may be incurred during the Lease Period, unless the same is due to causes directly attributable to the LESSOR.

c. The LESSEE shall keep the Leased Premises in good, clean and sanitary condition, free from any obnoxious odors, disturbing noises and other nuisances, and shall observe appropriate safety measures in the operation of its business.

d. During the entire Lease Period, the repair and maintenance of the Leased Premises shall be for the account of the LESSEE. Likewise, the LESSEE shall be responsible for the damages and vandalism sustained by the showcase/cart occupied by it.

e. All products and merchandise to be sold by the LESSEE must be displayed within the approved Leased Premises only.

f. After due notice to the LESSEE, any and all charges due under this Contract may be increased based on such percentage as may be determined by the LESSOR.

g. The LESSEE agrees on the faithful execution of the provisions hereof, and shall perform all acts necessary for the accomplishment of the objectives of this Lease.

32. **PENALTY PROVISION**: The parties agree that all the covenants and agreements herein contained shall be deemed conditions as well as covenants and that if default or breach be made of any such covenants and conditions, then this Contract of lease may be terminated and cancelled and the party in default or in breach shall be liable for any and all damages, actual and consequential, resulting from such default and termination, provided, however, that no default shall be declared if defaulting party immediately take remedial steps to cure the default not later than thirty (30) days from written notice and the cure has been completed with thirty (30) days from written notice.

33. **NOTICES**: For all intents and purposes, notices, correspondence and processes shall be directed to the parties as follows:

To the **LESSOR** at:
MANILA MEDICAL SERVICES, INC.
667 United Nations Avenue, Manila

To the **LESSEE** at:
MARY GRACE FOODS, INC. (MARY GRACE CAFÉ)

34. **VENUE**: All actions under this Contract of Lease shall be instituted at the proper court of Manila to the exclusion of all others.

IN WITNESS WHEREOF, the parties hereto have caused this instrument to be executed on the day, month, year and place herein above mentioned.

MANILA MEDICAL SERVICES, INC. (MMSI)
LESSOR

By:

ARLENE P. LEDESMA
President

And

HIAN HO N. KUA, MD
Hospital Director

MARY GRACE FOODS, INC.
(MARY GRACE CAFÉ)
LESSEE

By:

ADRIAN P. DIMACALI
Director

SIGNED IN THE PRESENCE OF:

JOSEFINA A. CANO, MD
Administrative Director

ACKNOWLEDGEMENT

REPUBLIC OF THE PHILIPPINES)
) **S.S.**

BEFORE ME, the undersigned Notary Public for and in _____ on this _____ day of _____ personally appeared the following persons with their respective Competent Evidence of Identities, to wit:

Name	**Competent Evidence of Identity**	**Date/ Place Issued**
MANILA MEDICAL SERVICES, INC.		
ARLENE P. LEDESMA	03572229	January 4, 2023 / Manila
HIAN HO N. KUA, MD	03572226	January 16, 2023 / Manila
MARY GRACE FOODS, INC. (Mary Grace Café)		
ADRIAN P. DIMACALI		

known to me and to me known to be the same persons who executed the foregoing instrument and acknowledged to me that the same is their own free and voluntary act and deed, as well as the voluntary act and deed, of the corporations they respectively represent.

The foregoing instrument, consist of **Eleven (11)** pages including the page on which the acknowledgement is written, signed on each and every page thereof by the parties and their instrumental witness.

WITNESS MY HAND AND SEAL on the day and place herein above mentioned.

Doc. No. _____;
Page No._____;
Book No._____;
Series of 20_____

NOTARY PUBLIC